

FEDERAL MARITIME COMMISSION

BALTIC AUTO SHIPPING, INC.

Complainant,

v.

MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV, EMPIRE
UNITED LINES CO., INC.

Respondents.

Docket No. 14-16

Served: December 1, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*; Rebecca F. DYE, William P. DOYLE, Daniel B. MAFFEI, *Commissioners*.

Order Denying Motion for Confidential Treatment

On October 12, 2017, Complainant filed a status report and an appendix, as well as a motion for confidential treatment of certain portions of the status report and the appendix. For the reasons discussed below, the Commission is denying the motion for confidential treatment.

I. BACKGROUND

A detailed description of the procedural history of this proceeding can be found in the Commission's October 25, 2017 order denying Respondents' petition for attorney fees. In summary, Baltic Auto Shipping, Inc. (Baltic) alleged in the underlying proceeding that Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) and Empire United Lines Co. Inc., an NVOCC (collectively Respondents), committed various violations of the Shipping Act of 1984 (Shipping Act or Act).

The Administrative Law Judge (ALJ) subsequently dismissed the proceeding and Complainant filed exceptions. Complainant then filed a motion to withdraw its exceptions and to discontinue the action, which Respondents contested in part. The Commission granted Complainant's motion in part and dismissed the proceeding with prejudice on April 21, 2017; it denied, however, the request to extinguish the ability of either party to seek attorney fees.

Following the dismissal, Respondent petitioned the Commission for attorney fees, and Complainant requested, and was granted, an extension to file a reply. Complainant then requested another extension (which was denied administratively), a stay of the proceedings, a request for an evidentiary hearing, confidentiality for Complainant's reply to Respondents' petition regarding attorney fees, a correction of the record, and that Respondents' reply to the motion for a stay be struck.

The Commission served an order addressing these motions and Respondents' petition for attorney fees on October 25, 2017. The Commission denied Complainant's request for a stay, Complainant's request to strike the Respondents' reply to Complainant's motion for a stay, Complainant's request for an evidentiary hearing, and Complainant's motion for confidentiality. The Commission granted Complainant's request to correct the record. The Commission also denied the Respondents' request for attorney fees.

While the Commission was finalizing the October 25, 2017 order for issuance, Complainant filed on October 12, 2017, a status report and appendix, as well as a motion for confidential treatment of certain portions of the status report and the appendix. Respondent opposed the motion for confidential treatment.

II. DISCUSSION

The Complainant filed motions for confidential treatment on September 2, 2016, August 22, 2017, and most recently October 12, 2017. The main basis put forth by Complainant for each of the motions was that portions of Complainant's submissions included or discussed an alleged settlement agreement between the two parties containing a confidentiality clause.

On January 5, 2017, the Commission granted the September 2, 2016 motion, regarding *public disclosure* of the settlement agreement and a transcript of a U.S. District Court proceeding. *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 406, 409 (FMC 2017). The Commission granted confidentiality "in light of . . . the terms of the *possible* and proposed settlement." *Id.* at 409-10 (emphasis added). The Commission subsequently, however, determined that there was no settlement agreement, stating, "the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly decided that settlement is in their best interest." *See Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 668, 674 (FMC 2017). The August 22, 2017 motion for confidential treatment, therefore, was denied.¹ The Commission determined that Complainant had not "established any basis for confidentiality by way of an agreement between the parties, or under the Commission's rules." *Baltic Auto*

¹ As it was also not established that the purported settlement agreement itself was negotiated confidentially between the parties, the Commission did not reach or resolve the expectation of settlement negotiation confidentiality.

Shipping Inc. v. Hitrinov, Docket No. 14-16, slip op. at 13 (FMC Oct. 25, 2017).

Complainant now requests confidential treatment of portions of its October 12, 2017 status report and accompanying appendix, which includes an October 4, 2017 letter to a U.S. District Court regarding the agreement and attachments. Complainant states its motion is “based upon the same documents that were at issue in the September 2, 2016 motion,” putting forth the same basis for which it sought confidential treatment under in its previous motions. Complainant’s Oct. 12, 2017 Mot. at 1. Complainant states that the settlement agreement referenced in the documents contains “a confidentiality clause that prohibits disclosure of same to the public.” *Id.* at 1-2. It is seeking confidentiality “[i]n order to abide with the obligations of the parties herein arising out of said confidentiality clause.” *Id.* at 2.

A party may unilaterally request confidential treatment for materials submitted to the Commission. 46 C.F.R. § 502.5. The “motion must identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.201(j)(1)(vii). The burden is on the party that wants to protect the information to show good cause for its protection.” § 502.5(b).

Complainant has not met this burden. Other than arguing that there was a settlement agreement that prohibited disclosure, the Complainant does not demonstrate why what Complainant refers to as “sensitive issues” in the October 4, 2017 letter to a U.S. District Court, or the status report and appendix filed on October 12, 2017, should be confidential.

In addition, as stated above, the Commission recently denied confidential treatment regarding the alleged settlement agreement and discussion thereof in Complainant’s response to Respondents’

attorney fee petition. Those discussions are thus publicly available and include the same information related to the alleged settlement agreement that Complainant seeks confidentiality for in its status report. In addition, the October 4, 2017 letter and attachments contained in Complainant's appendix are already publicly available on the docket in the District Court proceeding.²

III. CONCLUSION

The Commission is denying Complainant's motion for confidential treatment for the status report and appendix filed on October 12, 2017. Complainant has not established any basis for confidentiality by way of settlement agreement, joint stipulation or otherwise under the Commission's rules. In addition, the information and documents for which confidential treatment is sought is publicly available.

THEREFORE, IT IS ORDERED, That Complainant's Motion for Confidentiality of the status report and appendix be DENIED.

Finally, IT IS FURTHER ORDERED, That this proceeding be discontinued.

By the Commission.

Rachel E. Dickon
Assistant Secretary

² See Letter, *Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc.*, No. 2:15-cv-00355 (D. N.J. Oct. 19, 2017), ECF No. 83-1.